

# PLS Group pitch run sheet

Ten-minute slot. Title through slide 15, then stop and take questions. Rehearse to 9:00, not 10:00: nerves add about 10% to your pace.

### Say this out loud, once

A\$0.43 against the A\$6.14 target is 4.6% and looks like rounding. Against the A\$0.66 of upside it is 66% and it is the whole case. One step further is the sentence that decides whether the pitch lands:

Strip those operating decisions out and the target is about A\$5.71. That is a 5.7% total return against a 5.90% benchmark. We would be recommending a hold.

A\$6.14 less A\$0.43 is A\$5.71, which is 4.1% above the A\$5.48 close, plus a 1.6% yield. Say it on slide 1 or slide 11. Not both.

|                              | SLIDE                            | BUDGET | LEAVING AT | SPK |
|------------------------------|----------------------------------|--------|------------|-----|
| Title                        | Title                            | 8s     | 0:08       | A   |
| Slide 1                      | Recommendation                   | 50s    | 0:58       | A   |
| Slide 2                      | Why PLS, not the other five      | 35s    | 1:33       | A   |
| handover · 8s · running 1:41 |                                  |        |            |     |
| Slide 3                      | FY26 results                     | 18s    | 1:59       | B   |
| Slide 4                      | The price cycle                  | 25s    | 2:24       | B   |
| Slide 5                      | Structural demand                | 22s    | 2:46       | B   |
| Slide 6                      | Cost curve                       | 35s    | 3:21       | B   |
| handover · 8s · running 3:29 |                                  |        |            |     |
| Slide 7                      | Three levels                     | 12s    | 3:41       | C   |
| Slide 8                      | Carbon-declarable tonnes         | 50s    | 4:31       | C   |
| Slide 9                      | The two cost levers              | 50s    | 5:21       | C   |
| Slide 10                     | Where our story is thin          | 30s    | 5:51       | C   |
| handover · 8s · running 5:59 |                                  |        |            |     |
| Slide 11                     | The ESG value bridge             | 62s    | 7:01       | D   |
| Slide 12                     | A finite orebody gets an annuity | 50s    | 7:51       | D   |
| Slide 13                     | The range                        | 18s    | 8:09       | D   |
| Slide 14                     | Risks                            | 18s    | 8:27       | D   |
| Slide 15                     | Close                            | 32s    | 8:59       | D   |

Dividers get zero seconds — advance through them while finishing the previous sentence. One person watches the clock and nobody else does. If you are cut off at ten minutes, the only thing you must have said is slide 11.

# PLS GROUP LIMITED

ASX: PLS | Spodumene concentrate | Pilgangoora, Western Australia

*The market is paying for a lithium miner.  
We are paying for the only one of the six that can sell a tonne the  
others cannot.*

BUY

12-month target A\$6.14

Last close A\$5.48 | +12.0%  
Total return 13.6% vs benchmark 5.90%

FMAA Asset Management | Shared Value Coverage Team  
Shared Value Project x FMAA | Investing for the Future Case Competition 2026  
Valuation date 5 September 2026

Do not introduce four names. Judges have your team sheet.

Good morning. We're recommending PLS Group, ASX ticker PLS, a spodumene producer in the Pilbara.

NOTES

Two thirds of the upside we see is the shared-value position the market has not priced. That is the entire recommendation.

Executive summary

ASX: PLS

01 The asset

A\$569/t

FY26 unit cost, FOB

Pilgangoora produced 879.5kt in FY26, up 17%, at a 59% EBITDA margin. Costs fell 9% while volumes rose.

02 The balance sheet

A\$2.29bn

Cash at 30 June 2026

Net cash of A\$1.44bn, an inaugural US\$600m bond, and a dividend reinstated at 5cps fully franked.

03 The growth

>2 Mtpa

P2000 doubles Pilgangoora

PFS puts the increment at A\$2.6bn NPV and a 55% IRR. A\$175m of pre-FID capital is already approved.

04 The shared value

A\$0.43

per share, inside the target

Equal to 66% of the A\$0.66 of upside. A further A\$0.32 sits outside it, unpriced.

05 The valuation

A\$6.14

12-month target

60% base-case DCF at an 8.88% WACC, 40% trading comparables. Bear A\$2.30, bull A\$8.96.

06 The mandate

13.6%

expected total return

+12.0% price and a 1.7% yield, against a benchmark that returned 5.90%. Outperformance of 7.7%.

Source: PLS Group FY26 results (24 August 2026); P2000 Pre-Feasibility Study (June 2024); team valuation model. Spodumene concentrate is the lithium-bearing rock concentrate PLS ships; SC6 denotes a 6% Li2O grade.

1

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Buy. Twelve-month target of six dollars fourteen against a last close of five dollars forty-eight. That's 12.0% of price and a 1.6% yield, so a 13.6% total return against a benchmark that returned 5.90%. The fund needs two points of outperformance. This gives seven point seven.

The part that matters isn't the target. It's where the upside comes from. Sixty-six cents of upside, and forty-three cents of it traces to operating decisions PLS made for environmental reasons that the market is pricing as ordinary cost control.

Strip those decisions out and we'd be recommending a hold. That's the pitch, and we'll spend the next eight minutes defending that forty-three cents.

LAND 66% of the upside, not 4.6% of the target.

CUT IF BEHIND the benchmark sentence. Keep the forty-three cents.

NOTES

# Why PLS, not the other five

For four of the six, ESG spend defends an existing cash flow. For PLS the societal need is the demand, and carbon intensity decides market access.

ASX: PLS

Why PLS, and not the other five

| Company           | Primary exposure             | How ESG works in the business                                                                           | Effect on value | EV/EBITDA | Net debt   |
|-------------------|------------------------------|---------------------------------------------------------------------------------------------------------|-----------------|-----------|------------|
| BHP Group         | Iron ore, copper, coal       | Scope 1 and 2 abatement on long-life bulk assets. Spend protects a licence to operate.                  | Defensive       | n/a       | US\$8.7bn  |
| Rio Tinto         | Iron ore, aluminium, lithium | Same, plus a lithium arm bought at the top of the cycle for US\$6.7bn.                                  | Defensive       | 7.8x      | US\$14.1bn |
| Fortescue         | Iron ore, green energy       | Green hydrogen ambition sits beside the iron ore business rather than inside it.                        | Adjacent        | 5.6x      | US\$0.9bn  |
| South32           | Alumina, base metals         | Real transition-metal exposure, but ESG is still a cost of operating.                                   | Defensive       | 8.5x      | net cash   |
| Mineral Resources | Lithium, iron ore, services  | Lithium exposure diluted by services and iron ore, and constrained by gearing.                          | Diluted         | 7.8x      | US\$4.3bn  |
| PLS Group         | Lithium, pure play           | The product IS the transition, and the carbon intensity of the tonne decides which market will take it. | Offensive       | 26.8x     | net cash   |

The screen this case asks for

Porter and Kramer's test is whether solving a societal problem creates a new pool of value. Four of these six use ESG to protect cash flows they already have. That is competent risk management, and it is not shared value. Only PLS sits in a market where the environmental outcome is the reason the customer exists.

The risk that comes with it

PLS is also the riskiest of the six: one commodity, one principal asset, and a price that has moved by a factor of three in two years. A shared-value mandate does not suspend that. It is why our bear case is severe and why we size the downstream prize outside the target rather than inside it.

Sources: company FY26 results; data-vendor multiples, August 2026 (providers disagree materially on EV/EBITDA across this peer set - see appendix). PLS's 26.8x is trailing FY26 and falls to roughly 9x on FY27 estimates as the earnings recovery annualises.

2

Summary

Company Industry Thesis Shared Value Valuation Risks Recommendation

The case gave us six miners. Four of them use ESG spending to defend cash flows they already have. Rehabilitation provisions, emissions targets on an iron ore business that sells the same tonne either way. That's competent risk management. It isn't shared value.

PLS is the only one where the societal need is the demand. Decarbonisation is why the customer exists, and carbon intensity is becoming a condition of sale. That's the screen, and it only selects one of the six.

LAND for four of six, the tonne sells either way.

CUT IF BEHIND the examples in sentence two.

HANDOVER "So what does the company look like underneath that?"

NOTES

Record volumes, a 59% margin, A\$2.29bn of cash and a reinstated dividend - achieved while the lithium price was still recovering.

PLS came out of the downturn stronger than it went in

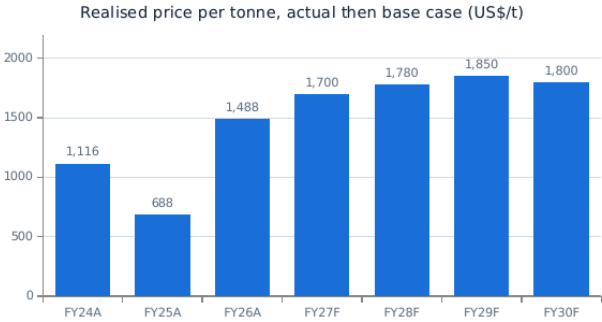
ASX: PLS

879.5kt  
Spodumene produced, FY26  
Up 17%. Beat guidance by about 10kt.

A\$1,934m  
Revenue, FY26  
Up 152% on FY25's A\$769m.

A\$1,137m  
Underlying EBITDA  
A 59% margin, against A\$97m in FY25.

A\$569/t  
Unit cost, FOB  
Down 9% while volumes rose 17%.



The number that matters most is not the average

- The June-2026 quarter realised US\$2,107/t on actual grade, against a full-year average of US\$1,488/t.
- PLS exited FY26 earning roughly 40% more per tonne than it averaged across it. FY27 annualises that.

|                     | FY26 actual    | FY27 guidance            | Driver                         |
|---------------------|----------------|--------------------------|--------------------------------|
| Production          | 879.5kt        | 1,030-1,100kt            | Ngungaju restart               |
| Unit cost, FOB      | A\$569/t       | A\$575-625/t             | Ngungaju mix effect            |
| Capital expenditure | A\$328m        | A\$620-685m              | Includes A\$175m P2000 pre-FID |
| Dividend            | 5.0cps franked | 20-30% of free cash flow | Reinstated Aug 2026            |

A 17-25% volume step-up at a unit cost only 1-10% higher. The extra Ngungaju tonnes cost more than the Pilgana average and still sit well down the global curve.

Source: PLS Group FY26 results, 24 August 2026, and the June-2026 quarterly activities report. Realised price is on actual product grade (about SC5.2), below the SC6 benchmark. FOB excludes freight.

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Do not read four statistics off the screen. Judges read faster than you speak.

One line on the year. Record volumes, a 59% margin, and unit costs down 9% while volumes rose 17%. Costs falling while volumes rise, through the worst lithium downturn in a decade. That's the operating position we're underwriting.

LAND costs down 9%, volumes up 17%, same year.

NOTES

Prices tripled off the 2025 trough and then fell hard in August as idled mines restarted. Credible forecasters disagree about what happens next, and we say so.

ASX: PLS

The cycle has turned, but it is a saw-tooth, not a straight line

What has happened

Spodumene bottomed near US\$600-750/t in 2025 and reached roughly US\$2,038-2,200/t by August 2026. PLS's own realised price tripled over the same window. Then, in a single week in August, the Platts SpodIX benchmark fell US\$270/t as Mineral Resources' Bald Hill, Core Lithium's Finnis and CATL's Jianxiawo all moved to restart.

Why we do not forecast a straight line

Our base case assumes PLS realises US\$1,700/t in FY27 - about 11% below what current spot implies and 19% below the June-2026 quarter exit rate. That is deliberately early and conservative: the recommendation must not need the spike to hold.

| Forecaster     | Call on the 2026 balance | What they say                                                                                                           |
|----------------|--------------------------|-------------------------------------------------------------------------------------------------------------------------|
| Fastmarkets    | Deficit                  | Flips from a 2025 surplus to a 1.5kt LCE deficit; raised its 2027 carbonate forecast from US\$22.65/kg to US\$31.40/kg. |
| Morgan Stanley | Deficit                  | Calls an 80kt LCE deficit in 2026.                                                                                      |
| UBS            | Deficit                  | Calls a 22kt LCE deficit in 2026.                                                                                       |
| Macquarie      | Narrowing                | 2025 was the peak surplus year at 120kt; narrows to roughly balance (+1kt) by 2028.                                     |
| Wood Mackenzie | Surplus                  | Base case keeps lithium chemicals in surplus through 2026-27, with a deficit not arriving until the early 2030s.        |
| IEA            | Long-run shortfall       | Under its STEPS scenario, announced projects fall about 40% short of 2035 demand.                                       |

We have not smoothed this into one house view, because the disagreement is the point. Wood Mackenzie is the credible dissenter and we carry its view as our bear case rather than ignoring it. What every forecaster on this page agrees on is that 2025 was the peak surplus year.

Sources: S&P Global Platts SpodIX assessments, August 2026; Benchmark Mineral Intelligence, 12 August 2026; Fastmarkets; Morgan Stanley; UBS; Macquarie; Wood Mackenzie Lithium Energy Transition Outlook, 3 March 2026; IEA Global Critical Minerals Outlook 2026. LCE means lithium carbonate equivalent.

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This is the credibility slide. Judges expect a lithium bull to wave the price away.

Prices tripled off the 2025 trough, then fell two hundred and seventy dollars a tonne in a single week in August as Bald Hill, Finnis and Jianxiawo restarted. We're not going to pretend that didn't happen. Wood Mackenzie still calls surplus into the early 2030s, and we carry their view as our bear case.

LAND we carry the bear's view, not our own.

CUT IF BEHIND the three mine names.

NOTES

Whatever the next quarterly price print does, the shape of this market changed in 2026 - and none of it depends on electric vehicle subsidies.

ASX: PLS

Two sovereign supply shocks and a second demand pillar

1 China removed its own largest mine, twice

- CATL's Jianxiawo mine, about 150ktpa LCE and the largest lithium operation in China, was suspended in August 2025, restarted in mid-2026 and re-suspended in August 2026.
- Benchmark cut its 2026 estimate for the site from 62.5kt to 32kt LCE. The regulatory review may not conclude until 2027.
- A further 108ktpa LCE of Jiangxi capacity sits under the same licence scrutiny.

2 Zimbabwe closed the door early

- All raw mineral and concentrate exports were banned from 25 February 2026.
- The market had expected concentrate exports to stay legal until January 2027, so this arrived nearly a year early.
- Two unrelated, sovereign-driven disruptions inside twelve months is a stronger supply argument than either alone.

3 Storage became a demand pillar of its own

- Battery storage installations grew about 51% in 2025, on top of 26% growth in electric-vehicle battery demand.
- Storage went from roughly 23% of lithium demand in 2025 to about 31% in 2026, pulled by datacentre power demand.
- This leg is structurally independent of the vehicle-subsidy cycle now working against the market in the United States.

Why the third one matters most

Every team in this competition will note that lithium demand grows with electric vehicles. That argument is exposed to a single policy variable, and that variable has turned hostile in the United States. Grid storage is not. It is pulled by electricity demand and by datacentre buildout, and it grew fast enough in 2026 to keep global lithium demand rising 17-30% through the US policy reversal rather than in spite of it.

And what it takes to supply it

Benchmark Mineral Intelligence puts the greenfield incentive price - the level at which new supply gets funded - sustainably above US\$20,000-25,000/t LCE, and estimates that more than 300 new projects are needed by 2035. Our base case long-run price of about US\$1,750/t realised sits below the level that incentive analysis implies. If Benchmark is right, we are being too cautious, not too aggressive.

Sources: Benchmark Mineral Intelligence; Government of Zimbabwe export ban, 25 February 2026; Rho Motion and industry installation data; Reuters analyst poll (2026 demand growth of 17-30%).

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Every team here will tell you lithium demand grows with electric vehicles. That argument rests on one policy variable and that variable just turned hostile. Ours doesn't need it. Storage installations grew about 51% last year, and storage is not subsidy-driven. The demand leg holds without a single EV assumption.

LAND our demand case survives the subsidy repeal.

NOTES

# Cost curve

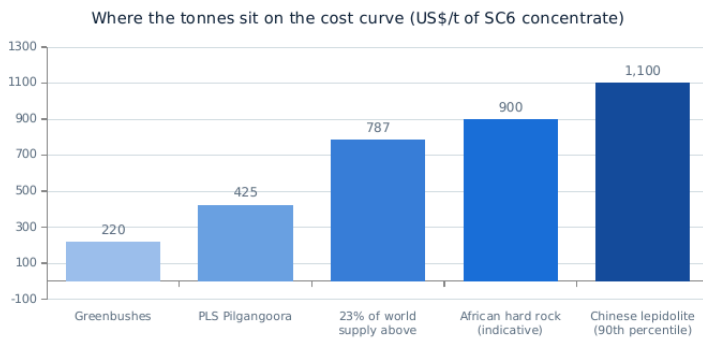
35s

2:46 → 3:21

**This is why swing tonnes come off before PLS's do, and why the balance sheet compounds through a downturn instead of surviving it.**

ASX: PLS

Pilgangoora earns cash at prices that shut a quarter of world supply



## Read it against our own bear case

- Our bear case assumes a realised price equal to roughly US\$1,145/t on an SC6 basis.
- At that price the top decile of world supply is under water and PLS still earns about US\$720/t of cash margin.
- That is the mechanism behind the phrase swing supply: the marginal tonne leaves the market before the low-cost tonne does.

## The assumption most teams will get wrong

Brine is no longer automatically the cheap end of this industry. S&P Global puts weighted Argentine brine all-in sustaining cost at US\$7,223/t LCE in 2026, inflated by Argentine cost pressure, which is at or above much of the hard-rock curve. The old "brine beats rock" shorthand no longer describes the cost curve.

Basis note. PLS reports A\$569/t FOB on its own product grade of about SC5.2. Converted to an SC6 basis and translated at 0.65 AUD/USD, that is roughly US\$425/t - the figure shown above. We have made the conversion explicit rather than comparing grades that are not alike.

Sources: S&P Global Market Intelligence Mine Cost Outlook, January 2026; CRU Group (lepidolite cost distribution); PLS Group FY26 results. Greenbushes is operated by Talison, a Tianqi, Albemarle and IGO joint venture.

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*Slow down. This is the mechanism that makes the bear case survivable.*

Here's why we can be relaxed about the price. Our bear case assumes a realised price of about eleven hundred and forty-five US dollars a tonne. At that price the top quartile of world supply is under water and Pilgangoora is still generating cash margin.

That's what swing supply means in practice. The tonnes that come off are somebody else's. PLS doesn't just survive a downturn, it buys assets during one. It bought Latin Resources in scrip at the trough and restarted Ngungaju when prices recovered.

**LAND** at our bear price, a quarter of world supply loses money and PLS doesn't.

**CUT IF BEHIND** the Latin Resources sentence.

**HANDOVER** "That's the asset. Here's the argument."

NOTES

**Cutting cost while cutting emissions is real, but it is the middle level and every competent operator gets there. The first level is where advantage is created.**

Three levels of shared value, and where mining actually sits

ASX: PLS

|                |                                                                                                                                  |                                                                                                                                                                                          |                                    |
|----------------|----------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|
| <b>Level 1</b> | <b>Reconceiving products and markets</b><br><i>Serve an unmet societal need in a way that opens a market that did not exist.</i> | PLS: electric calcination and a Korean conversion joint venture produce a low-carbon, traceable, non-China unit at the moment carbon intensity is becoming a condition of sale.          | <b>Where the advantage is</b>      |
| <b>Level 2</b> | <b>Redefining productivity in the value chain</b><br><i>Solve an environmental problem in a way that lowers cost.</i>            | PLS: sensor-based ore sorting rejects waste before the energy-intensive stages, so cost per tonne and energy per tonne fall together. Gas and solar displace diesel generation.          | <b>Real, and roughly A\$48/t</b>   |
| <b>Level 3</b> | <b>Enabling local cluster development</b><br><i>Build the suppliers, skills and institutions the business depends on.</i>        | PLS: Traditional Owner agreements and Pilbara local content; in Brazil, the Salinas development including a flour-factory revitalisation supporting around 300 direct and indirect jobs. | <b>Makes the growth executable</b> |

Framework: Michael Porter and Mark Kramer, 'Creating Shared Value', Harvard Business Review, 2011. Company evidence per PLS disclosures; see appendix for the full evidence table and our confidence rating on each item.

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You are explaining Porter and Kramer to the Shared Value Project. Do not teach them their own framework.

Porter and Kramer describe three levels. Almost every mining ESG story lives at level two. We're claiming level one, and here's what that's worth.

CUT IF BEHIND nothing. This is already the floor.

NOTES

# Carbon-declarable tonnes

50s

3:41 → 4:31

**A tonne that cannot be declared cannot be sold into the highest-value chains at any price.  
PLS is building tonnes that can be.**

Carbon intensity is becoming a condition of sale

ASX: PLS

1

## Electric calcination

Calix technology, 100% PLS owned. Opened 5 June 2026; first lithium phosphate guided for the September 2026 quarter. Cuts calcination emissions by more than 80%.

2

## A declarable unit

Calcination is the most energy-intensive step in the chain. Removing its emissions is what makes a low carbon footprint declarable rather than merely claimed.

3

## Qualification

EU Battery Regulation requires a carbon footprint declaration and, from 2027, a battery passport. US foreign-entity-of-concern rules restrict China-linked chains. Korean and Japanese cell makers qualify suppliers on provenance.

4

## A market others cannot enter

PLS supplies an 18%-owned Korean hydroxide joint venture at Gwangyang, with an option to lift that stake to 30% - a non-China conversion route into the customers who need one.

### Why we still carry this at zero in the target

The mid-stream plant has not produced yet. The joint venture is still ramping. And we searched PLS's disclosed contracts for a carbon-linked price premium and could not find one. Sizing a prize is not the same as booking it, so none of this is in the A\$6.14 target. It is quantified on the next page and held outside.

### Why it is still the thesis

Every other lever in this deck lowers a cost that a competitor can also lower. This one changes which customers PLS is allowed to serve. That is Porter and Kramer's first level, it is the only lever on offer across these six companies that creates a market rather than defends a margin, and it is the reason we are recommending a lithium producer rather than a diversified major.

Sources: PLS and Calix announcements (plant opened 5 June 2026, ARENA-supported); POSCO Pilbara Lithium Solution disclosures; EU Regulation 2023/1542 on batteries and waste batteries; US Inflation Reduction Act foreign-entity-of-concern provisions. The >80% figure is the reduction in calcination emissions specifically, not in PLS's total footprint.

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Walk the four boxes left to right as one chain. Each arrow is a "which means".

Calcination is the most energy-intensive step in the chain. PLS owns a Calix electric calciner outright, opened in June, that cuts those emissions by more than 80%. Which means the tonne has a low, **declarable** carbon footprint.

That word is doing the work. From 2027 the EU Battery Regulation requires a carbon footprint declaration and a battery passport. US foreign-entity rules point the same way. A tonne that can't be declared can't enter those chains at any price.

So this is a market-access story before it is a cost story. PLS is building tonnes that qualify where competitors' tonnes won't.

**LAND** declarable. Say the word three times.

**CUT IF BEHIND** the US foreign-entity clause.

NOTES

These two levers are worth about A\$48/t. They are also things a good operator would do without an ESG label, so we do not claim them as a differentiator.

ASX: PLS

Productivity: real money, honestly labelled

Lever 1 | Sensor-based ore sorting

The A\$103m P680 project installed a TOMRA sensor-based sorter, described by the supplier as the largest in lithium at over 1,000 tonnes per hour, commissioned in August 2024. It rejects barren rock before the crushing and flotation stages, so fewer tonnes are milled for the same lithium output.

How we get to A\$30/t. FY26 unit costs fell A\$58/t, from A\$627 to A\$569. Volumes rose 17% over the same period, so roughly half of that fall is fixed-cost dilution on higher throughput. We attribute the remaining half - about A\$29/t, which we round to A\$30/t - to ore sorting and the associated processing improvements. This is our estimate, not a company disclosure.

Lever 2 | Power

Pilgangoora runs on its own generation rather than the state grid. Eight new gas gensets and LNG storage have displaced diesel, with battery storage planned to firm future solar. The company targets roughly 48% lower power emissions intensity by 2027, and up to 80% by 2030 if regional wind becomes available.

How we get to A\$18/t. Power is typically 15-20% of hard-rock processing cost, so call it about A\$95/t of the A\$569/t base. A diesel-to-gas-and-solar switch of the scale described would cut that by roughly a fifth, or about A\$19/t, which we round down to A\$18/t. Again, our estimate. PLS does not disclose a power cost per tonne.

|                               | A\$/t | PV at A\$20.5m per A\$1/t (A\$m) | A\$/share | Evidence |
|-------------------------------|-------|----------------------------------|-----------|----------|
| Sensor-based ore sorting      | 30    | 614                              | 0.19      | Strong   |
| Power: gas, solar and storage | 18    | 368                              | 0.11      | Moderate |
| Total productivity levers     | 48    | 982                              | 0.31      |          |

The coefficient is from the model: one dollar per tonne of sustained unit margin, across the base-case volume profile, after tax and discounting, is worth A\$20.5m of equity value.

Sources: TOMRA Mining and Global Mining Review (sorter commissioned August 2024, >1,000 t/h, described as the largest in lithium); PLS FY26 results (unit cost A\$627/t to A\$569/t); PLS power strategy disclosures. The A\$30/t and A\$18/t figures are the team's estimates with the arithmetic shown above, not company-disclosed savings.

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Two levers, and we'll label them honestly.

First, ore sorting. The A\$103m P680 project installed a TOMRA sorter, over a thousand tonnes an hour. It rejects barren rock before crushing, so fewer tonnes get milled for the same lithium. FY26 unit costs fell fifty-eight dollars a tonne. We attribute about thirty of that to sorting.

Second, power. Pilgangoora runs its own generation. Gas has displaced diesel, solar and storage are next. About eighteen dollars a tonne.

Forty-eight dollars a tonne between them. Both are things a good operator would do without an ESG label, so we don't claim them as a differentiator. We claim them as cash.

LAND A\$48/t, and that we are not overclaiming it.

CUT IF BEHIND the power detail. Say "power adds eighteen."

NOTES

The case asks for a critical eye. Here is where PLS's shared-value story is thinner than its reporting suggests, and what we would put to management.

What we found when we went looking for the gaps

ASX: PLS

| What we looked for                                                                                                                                                                                                                                                                                                                                                              | What we found                                                                                                                                             | Why it matters to the investment case                                                                                                                                                                                                                                                                                                         | Severity |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| A dated net-zero commitment                                                                                                                                                                                                                                                                                                                                                     | The target is a decade, not a year: "the decade commencing 2040". No SBTi validation was found.                                                           | A ten-year window is not a plan a capital allocator can hold management to.                                                                                                                                                                                                                                                                   | High     |
| Scope 3 disclosure                                                                                                                                                                                                                                                                                                                                                              | None found. For a company whose product is consumed downstream, this is the emissions that matter most.                                                   | Undermines the low-carbon claim precisely where customers will audit it.                                                                                                                                                                                                                                                                      | High     |
| Emissions intensity per tonne                                                                                                                                                                                                                                                                                                                                                   | Not disclosed as a KPI. Third-party aggregator figures for FY23-24 exist but disagree and are unreliable.                                                 | Without it, no buyer can verify the carbon advantage we are underwriting.                                                                                                                                                                                                                                                                     | High     |
| A credible biodiversity offset                                                                                                                                                                                                                                                                                                                                                  | PLS pays into the Pilbara Environmental Offsets Fund. An independent review found its rate of A\$893-3,781 per hectare too low to fund real conservation. | A sector-wide exposure, not a PLS failure - but PLS cannot claim biodiversity risk is mitigated by pointing at it.                                                                                                                                                                                                                            | High     |
| Fleet decarbonisation                                                                                                                                                                                                                                                                                                                                                           | No electric haul fleet or trolley-assist programme found, while Fortescue runs public programmes.                                                         | A lever PLS has not pulled. Upside if taken, a gap in the meantime.                                                                                                                                                                                                                                                                           | Medium   |
| Tailings approach                                                                                                                                                                                                                                                                                                                                                               | Not disclosed. We could not establish whether Pilgangoora uses filtered or conventional wet tailings, nor its GISTM status.                               | We refuse to assert either way. It is an unpriced risk, and we say so.                                                                                                                                                                                                                                                                        | Medium   |
| <b>The contradiction we had to resolve</b><br><br>We argue that social licence protects the P2000 permitting schedule while also reporting that the offset system underpinning that licence is independently judged inadequate. Both are true. The offsets regime is a live risk to every Pilbara miner, which makes getting ahead of it an opportunity rather than a footnote. |                                                                                                                                                           | <b>Our three engagement asks as a shareholder</b><br><br>1. Convert the 2040s window into a dated, SBTi-validated target.<br>2. Publish emissions intensity per tonne of concentrate and a verified product carbon footprint - the metric the EU regime will require anyway.<br>3. Disclose the tailings method and GISTM conformance status. |          |

Sources: PLS climate and sustainability disclosures; ABC News, 'Pilbara mining offset scheme leaves threatened species short-changed, review finds', 21 October 2024; team research. Items marked as not found were searched for and could not be verified; we have not assumed absence of disclosure means absence of practice.

10

Summary Company Industry Thesis Shared Value Valuation Risks Recommendation

Do not apologise and do not hedge. This is a scoring slide.

We went looking for holes in PLS's shared-value story and we found six. The net-zero target is a **decade**, not a year. The decade commencing 2040. There's no SBTi validation and no Scope 3 disclosure, on a company whose product is consumed downstream. The tailings method isn't disclosed either, so we carry it as an unpriced risk rather than assume it's fine.

We took the haircut before we built the number.

LAND a decade is not a date.

CUT IF BEHIND the tailings sentence.

HANDOVER "So here's the number after that haircut."

NOTES

# 03 Valuation, risk and recommendation

What the asset is worth, what has to be true for that to hold, and what would tell us first that it is not.

12 Discounted cash flow 13 The range and the sensitivities 14 Risks and mitigants 15 Recommendation

*The most important slide in the deck. Expect the double-counting question. Answer it before it is asked.*

First, what this bridge is not. Nothing on it is added to the DCF. Ore sorting and the power strategy are already inside the five sixty-nine cost base the model discounts. This is an attribution, not an addition. We're asking where the value comes from, not adding it twice.

Forty-three cents a share. Thirty cents is the two cost levers. Thirteen cents is a P2000 permitting delay we think social licence avoids.

Now the arithmetic that reframes the pitch. Measured against the six-fourteen target, forty-three cents is 4.6%. A rounding adjustment. Measured against the sixty-six cents of upside, it's 66%. Most of the investment case.

And there's a further thirty-two cents of downstream value we've deliberately left outside the target. Nothing here depends on it landing.

**LAND** attribution, not addition. Then 4.6% versus 66%.

**CUT IF BEHIND** the thirty-two cents. Keep it for Q&A.

That single choice is worth A\$9.0bn of terminal value. It is the difference between valuing a mine and valuing a company that never runs out of rock.

ASX: PLS

A finite orebody gets an annuity, not a perpetuity

| Input                  | Value | Where it comes from                         | Tag      |
|------------------------|-------|---------------------------------------------|----------|
| Risk-free rate         | 5.00% | Case document, page 6                       | Case     |
| Market risk premium    | 6.00% | Case document, page 6                       | Case     |
| Equity beta            | 0.73  | Case document; Yahoo 5-year monthly         | Case     |
| Cost of equity         | 9.38% | CAPM: 5.00% + 0.73 x 6.00%                  | Derived  |
| After-tax cost of debt | 4.38% | 6.25% note coupon at the 30% rate           | Estimate |
| Target gearing         | 10%   | Through-cycle; PLS is net cash by A\$1.44bn | Estimate |
| WACC                   | 8.88% | 90% equity, 10% debt after tax              | Derived  |

| Base case DCF                      | A\$m   | Per share                       | A\$    |
|------------------------------------|--------|---------------------------------|--------|
| PV of explicit forecast, FY27-FY36 | 9,661  | Value per share                 | 6.50   |
| PV of terminal value (annuity)     | 9,894  | Last close                      | 5.48   |
| Enterprise value                   | 19,581 | Implied upside                  | +19.1% |
| Net cash                           | 1,437  | Terminal value as a share of EV | 50.7%  |

The orebody runs out. So does the cash flow.

Pilgangoora's mineable base is 334.5Mt: the 446Mt resource at a 75% conversion assumption. Mass pull is 17.5%, from a 1.19% reserve grade at 76.5% recovery into a 5.2% concentrate. On the base-case profile the mine consumes 104.0Mt by FY36 and exits at 14.3Mt of ore a year, leaving 230.5Mt - about 16.1 years.

Source: team valuation model, Assumptions and DCF sheets. Discounting uses a mid-year convention. The 75% resource-to-reserve conversion is a key judgement: the 214Mt Ore Reserve alone, last stated in August 2023 and not restated since the June 2025 resource upgrade, would not support the modelled expansion.

This separates you from every team that ran a textbook DCF.

Most DCFs end with a perpetuity growing at two and a half percent forever. A mine runs out.

On our production profile Pilgangoora consumes 104 of its 334 million mineable tonnes by FY36 and exits at 14.3 million tonnes a year. About sixteen years left. So we value the terminal period as a sixteen-year annuity, not a perpetuity.

That single choice is worth nine billion dollars of terminal value. A perpetuity would have handed us nineteen billion on an asset that runs out of rock. It's the difference between valuing a mine and valuing a company that never depletes.

LAND A\$9.0bn versus A\$19.0bn.

IF ASKED Pre- or post-expansion? Post. Remaining ore over the FY36 rate, which already includes P2000.

NOTES

Base A\$6.53, bear A\$2.30, bull A\$8.96. Our own Monte Carlo puts the odds of being right at 47%, so we build the position rather than take it in one.

ASX: PLS

The range, and what has to be true

| Methodology             |             | Weight | Value   | Basis                                                                                      |
|-------------------------|-------------|--------|---------|--------------------------------------------------------------------------------------------|
| DCF, base case          | 6.53        | 60%    | A\$6.53 | WACC 8.88% from the case's prescribed inputs; terminal value an annuity over remaining ore |
| DCF, bear to bull       | 2.30 - 8.96 | -      | A\$5.63 | Every bad outcome at once against every good one. Shown to frame asymmetry                 |
| Monte Carlo, P25 to P75 | 3.13 - 7.65 | -      | A\$5.39 | 20,000 trials randomising price, cost, WACC, reserve conversion and both growth decisions  |
| Trading comparables     | 4.75 - 6.36 | 40%    | A\$5.55 | 8.0x to 11.0x FY27E EBITDA against a diversified peer median near 7.8x                     |
| Precedent transactions  | 6.53 - 8.27 | -      | A\$7.40 | Reference only; we found no consistent transaction multiple                                |
| Broker targets          | 2.50 - 6.83 | -      | A\$4.67 | Full individual spread across 17-20 analysts. Our target sits inside it                    |
| 52-week traded range    | 1.91 - 6.81 | -      | A\$4.36 | Where the market has paid                                                                  |

Base-case value per share against realised price and unit cost (A\$)

| Unit cost | -20% | -10% | +0%  | +10% | +20% |
|-----------|------|------|------|------|------|
| -10%      | 4.01 | 5.45 | 6.89 | 8.33 | 9.76 |
| -5%       | 3.83 | 5.27 | 6.71 | 8.15 | 9.58 |
| +0%       | 3.65 | 5.09 | 6.53 | 7.97 | 9.40 |
| +5%       | 3.47 | 4.91 | 6.35 | 7.78 | 9.22 |
| +10%      | 3.29 | 4.73 | 6.17 | 7.60 | 9.04 |

Source: team valuation model, Football Field and Sensitivity sheets; Monte Carlo per appendix E16. Broker range is the full individual analyst spread; vendor averages cluster A\$4.50-5.70.

What has to be true, and where it breaks

Read across for the commodity call and down for operational delivery. Shaded cells sit below today's price. PLS needs realised prices no worse than about 8% below our base case to justify A\$5.48, and that base case is already 11% below spot-implied realisation.

Against that: reward to risk is 1.09x, and 20,000 trials put the probability of intrinsic value beating today's price at 46.6%. Expected value clears the hurdle on a median that does not, so we build the position over several prints rather than take it in one.

Plant it. Do not narrate a football field.

Base six fifty-three, bear two dollars thirty, bull eight ninety-six. Our own Monte Carlo puts the probability of being right at 47%. So this is a position you build over several prints rather than take in one.

LAND we ran it, and we are telling you it's 47%.

NOTES

Every risk below has a named early-warning indicator, because a risk you cannot observe is not one you can manage.

ASX: PLS

What would break this, and what would tell us first

| Risk                             | Why it bites                                                                                                                                                                  | Mitigant                                                                                                              | Our early warning                                                                                  |
|----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| Price relapse                    | Restart supply from Bald Hill, Finniss and Jianxiawo overwhelms demand and spodumene revisits the 2025 trough. Wood Mackenzie's base case says surplus until the early 2030s. | PLS earns cash where roughly a quarter of world supply does not, and holds A\$2.29bn to wait.                         | Monthly SpodIX prints and Chinese carbonate inventory days.                                        |
| The re-rating is spent           | Short interest fell from about 20% of shares - the most shorted stock on the ASX - to about 6.8%. Much of the tripling was covering, and that buyer is now gone.              | We do not underwrite another squeeze. The target rests on earnings and the growth option, not on flow.                | ASIC short position reports; a re-build above 10% would be a warning.                              |
| P2000 slips or is shelved        | The DFS is due in the December 2026 quarter and no FID has been taken. Our base case assumes first ore in mid-2029.                                                           | A\$175m of pre-FID capital is already committed and the balance sheet can fund the A\$1.2bn build.                    | The December quarter study outcome, and the FID decision itself.                                   |
| Single asset, single commodity   | One orebody in one jurisdiction, and one price series that has moved by a factor of three in two years.                                                                       | Colina adds a second jurisdiction from the 2030s. It is risked at 40% in our NAV and contributes nothing before FY32. | Any operational interruption at Pilgangoora; Pilbara weather and cyclone season.                   |
| The carbon premium never arrives | Our level-one thesis assumes carbon intensity becomes a condition of sale. It may stay a preference that nobody pays for.                                                     | We have already priced this at zero inside the target and risked it at 25% outside it.                                | The first PLS contract with a disclosed carbon-linked term, or an EU declaration enforcement date. |
| Reserve conversion disappoints   | Our terminal value assumes 75% of the 446Mt resource converts. The Ore Reserve has not been restated since August 2023.                                                       | The 2025 resource upgrade lifted contained lithium 23%, which supports rather than undermines conversion.             | The next Ore Reserve statement. A conversion below 60% would cut the target by roughly A\$0.40.    |

The risk we are most exposed to is the first one, and we have not hedged the language on it. If spodumene averages 20% below our base case across the forecast, the target falls to about A\$3.80 and this recommendation is wrong.

Sources: ASIC short position reports via shortman.com.au (latest retrievable data 26 May 2026); Wood Mackenzie Lithium Energy Transition Outlook, 3 March 2026; PLS disclosures; team valuation model.

14

Summary

Company

Industry

Thesis

Shared Value

Valuation

Risks

Recommendation

Twelve risks, each with an indicator we can observe. The one that decides this position is a sustained price relapse. If spodumene averages 20% below our base case, the target falls to about three dollars eighty and we're wrong. We haven't hedged that.

LAND three dollars eighty, said without flinching.

DO NOT SAY Short interest is 6.8%. It rebuilt to 10.09%, above our own 10% warning line, and it is on appendix F2. If it comes up, give the current number.

NOTES

Recommendation

BUY  
A\$6.14

12-month target | +12.0%  
Total return 13.6% vs benchmark 5.90%

The mandate is met

A 13.6% expected total return against a benchmark that returned 5.90%, for outperformance of 7.7%. The fund needs 2%.

The case is the shared value

A\$0.43 of the A\$0.66 of upside - 66% - comes from ESG-linked operating decisions the market is not paying for.

The option is free

A further A\$0.32 per share of low-carbon downstream value sits outside the target entirely. Nothing in this recommendation needs it to land.

Catalysts inside the investment horizon

|              |                                                   |                                                                                                |
|--------------|---------------------------------------------------|------------------------------------------------------------------------------------------------|
| Sep-qtr 2026 | First lithium phosphate from the mid-stream plant | Turns the level-one thesis from a plan into a product                                          |
| Oct 2026     | September-quarter activities report               | The first full quarter at the post-restart run rate, and the price print after the August fall |
| Dec-qtr 2026 | P2000 definitive feasibility study                | The single largest value event in the pipeline: A\$2.6bn of NPV at PFS level                   |
| Late 2026    | P2000 final investment decision                   | A\$175m of pre-FID capital is already spent; this converts the option                          |
| FY27         | Ngungaju at steady state                          | Guidance implies 1,030-1,100kt, a 17-25% volume step-up                                        |

We would revisit this recommendation if spodumene averages more than 20% below our base case, if the P2000 study is deferred beyond the December 2026 quarter, or if short interest rebuilds above 10% of shares on issue.

15

Close on the number you opened with. Then stop talking.

Buy. Six dollars fourteen. 12.0% upside, 13.6% total return against a 5.90% benchmark.

Two thirds of that upside is shared value the market isn't paying for. The nearest catalyst is this quarter: first lithium phosphate from the mid-stream plant. The P2000 study lands in the December quarter. Both sit inside our horizon.

This screen re-ranks all six miners in the case set. PLS is just where it bites hardest.

LAND the same target you opened with, unchanged.

NOTES

# Q&A preparation

---

Assign an owner to every tier before you walk in. The failure mode in a live round is not being wrong, it is four people looking at each other for three seconds.

## TIER 1 – THE QUESTIONS YOU WILL DEFINITELY GET

---

### The stock has already tripled. Why buy now?

Three separate things drove that move and only one of them can repeat. First, short covering: PLS went from the most shorted stock on the ASX at about 20% of shares to 6.8% by May. That flow is finished, and we do not underwrite another squeeze. It has since rebuilt to 10.09%, which we treat as a risk rather than as fuel. Second, the price recovery, which is now largely in the numbers. Third, the earnings recovery, which is not: FY26 EBITDA of A\$1,137m was earned at an average realised price of US\$1,488/t, and the company exited the year at US\$2,107/t. Our target rests on the third one.

Do not get defensive. This is the strongest part of the pitch, not the weakest.

Have ready: the June-quarter realised price of US\$2,107/t versus the FY26 average of US\$1,488/t.

### Your target is above consensus. What do you know that the street doesn't?

Nothing about the lithium price, deliberately. Our FY27 assumption of US\$1,700/t is 11% below spot-implied realisation and below the Australian Government's own 2026 forecast of US\$2,236/t. Where we differ is the operating position: a cost base falling for structural reasons, a growth option with A\$175m of pre-FID capital already committed, and a downstream route that becomes commercially relevant as carbon accounting reaches raw materials.

Correction to have ready if they say you are above the whole street: vendor averages cluster A\$4.50–5.70, but the full individual spread across 17–20 analysts runs A\$2.50 to A\$6.83. A\$6.14 sits inside that range and below the most bullish analyst.

### Isn't ore sorting just good engineering? How is that shared value?

Yes, and we say so on slide 9 and again in appendix D4. PLS would have bought that sorter without an ESG rationale. Under Porter and Kramer that still qualifies as level two, redefining productivity, but level two is not a differentiator because any competitor can buy a sorter. That is exactly why our level-one argument rests on the mid-stream plant and the Korean joint venture instead, and why we quantify ore sorting at A\$30/t rather than dressing it up as a moat.

Agree with them. It is on the slide.

D4

### Are you double-counting? Those cost savings are already in your cash flows.

No, and the sheet says so at the top: this is an attribution, not an addition. The ore-sorting and power benefits are already inside the A\$569/t FY26 cost base and the A\$575–625/t FY27 guidance that the DCF discounts. Nothing is added. What the bridge does is decompose a valuation we have already struck and ask how much of it depends on ESG-linked operating decisions. The answer is A\$0.43.

This is the sharpest question available and the slide answers it in red.

### Short interest is back above 10%. Doesn't that undermine you?

It does, and we flag it on appendix F2 rather than dropping the indicator once it turned against us. Two things are true at once. The covering that drove much of the last twelve months is finished, so that flow cannot repeat. And shorts rebuilding to 10% says a well-resourced group thinks the re-rating overshot. We disagree with them, and our target never depended on a squeeze: it rests on FY27 earnings and the growth option. What it does change is sizing. At 10% short interest and 1.09x reward to risk, this is an overweight to build into rather than take in a single trade.

This is now a live question — do not be caught out by it. Short interest bottomed at 6.8% in May 2026 and has rebuilt to **10.09% as at 4 August 2026, up 0.75 percentage points in a single week**. Our own risk register names a rebuild above 10% as a warning signal. It has triggered.

F2

## Your own Monte Carlo says you're only 47% likely to be right.

Correct, and we put it on the slide rather than in a footnote. Across 20,000 trials the mean intrinsic value is A\$5.69, above the A\$5.48 close, and the median is A\$5.19, below it. Both are true at once, and the gap between them is the answer: a long right tail from the growth options against a fat left tail from price. What that changes is not the target. A\$6.14 is a point estimate of the base case and it stands on its own inputs. What it changes is conviction, and therefore sizing. An expected value that clears the hurdle on a median that does not is a position you build over several prints rather than take in one — which is exactly where the short-interest rebuild leaves us too, arrived at independently.

They read the appendix. Say so, and do not soften the number.

If they push on the specification: we deliberately correlated the P2000 and Colina go-decisions with the price draw. Drawing them independently fails those projects in precisely the states where they are worth most, which destroys the real option value the whole growth case rests on. That correlation is worth about four percentage points on the headline probability. Getting the mechanism right matters more than the flattering number.

If they ask why you show it at all: because a point estimate with no distribution behind it is not a valuation, it is an opinion with a decimal place. Appendix E16 has the full histogram, the input distributions, and the seed. The Monte Carlo sheet in the workbook reproduces every figure.

Numbers to have cold: P10 A\$1.99 · P25 A\$3.13 · P75 A\$7.65 · P90 A\$10.09 · probability above the close 46.6% · above the A\$6.14 target 39.3% · more than 20% below the close 40.9%.

E16

## Why PLS and not BHP or Rio Tinto?

For a shared-value mandate specifically, four of the six use ESG to defend cash flows they already have. Scope 1 and 2 abatement on iron ore is a cost of staying in business, not a new pool of value. Rio has genuine lithium exposure but bought it at the top of the cycle for US\$6.7bn with US\$14.1bn of net debt, so a lithium thesis expressed through Rio is mostly an iron ore position. PLS is the only one of the six where the environmental outcome is the reason the customer exists.

If pushed on South32: it was our runner-up, and we say so in appendix C6.

C6

## TIER 2 – THE TECHNICAL QUESTIONS

### Does your 16-year mine life use pre- or post-P2000 throughput?

Post. We divide the remaining ore base by the FY36 mining rate of 14.3Mt a year, which already includes P2000 at full run rate. Doubling throughput halves the life and the model captures that directly, which is why the bull case has a shorter life at 14.2 years and gives back part of the volume upside in the terminal value.

### Where does the 75% resource-to-reserve conversion come from?

It is our assumption and it is the single most important one on the page, which is why it is highlighted yellow in the workbook. The reserve alone, 214Mt last stated in August 2023, would not support the expansion we model. At 60% conversion the target falls about A\$0.40; at 90% it rises about A\$0.30. The reserve has not been restated since the June 2025 resource upgrade, so the next reserve statement moves it in either direction.

Concede immediately that it is a judgement.

### Why an annuity instead of a perpetuity?

Because an orebody is finite. A growing perpetuity would have valued the terminal period at A\$19.0bn instead of A\$9.9bn on an asset that runs out of rock. It also drops terminal value from about 68% of enterprise value to 50.7%, so less of the answer rests on an assumption nobody can test.

## **Your reward-to-risk is barely 1:1. Why is that a buy?**

It is 1.09x and we put that on the slide rather than burying it. What justifies the position is the expected return against the mandate, not the shape of the distribution: 13.6% against a 5.90% benchmark for a fund that needs two points. We would also note the bear case stacks every bad outcome simultaneously — prices at marginal cost, no P2000, no Colina, flat volumes for a decade — and still lands 19% above the price the market actually printed at the last trough.

Do not argue with the arithmetic.

## **How did you get A\$30/t for ore sorting and A\$18/t for power?**

FY26 unit costs fell A\$58/t while volumes rose 17%. We attribute roughly half to fixed-cost dilution and half, about A\$29/t, to sorting. For power we take 15–20% of the A\$569/t cost base as power, call it A\$95/t, and assume a diesel-to-gas-and-solar switch cuts about a fifth of it. Both are our estimates with the arithmetic on the slide. PLS does not disclose either.

## **What is your WACC and why?**

8.88%. Cost of equity is 9.38% straight from the case's prescribed inputs: 5% risk-free plus 0.73 beta times a 6% market risk premium. We add 10% target gearing at a 6.25% pre-tax cost of debt, 4.38% after tax, even though PLS is currently net cash by A\$1.44bn, because that is a through-cycle structure rather than a point-in-time one.

## **TIER 4 – THE ONES DESIGNED TO UNSETTLE YOU**

### **Your own recommendation contributes to the oversupply you are worried about.**

Correct. PLS restarted Ngungaju in the same window as Bald Hill and Finniss and is guiding to a 17–25% volume increase. Everyone restarting at once is what caps a price recovery. That is why our base case assumes prices fall about a fifth from the June-quarter exit rate, and why the cost curve matters more than the price forecast: the question is not who supplies the next tonne, it is who is still profitable when they all do.

True, and it is on slide B6.

B6

### **You claim social licence protects P2000, then say the offsets scheme is inadequate. Which is it?**

Both, and they are different approvals with different failure modes. Heritage approval turns on relationships with Traditional Owners and on process. Environmental offsets turn on a state scheme's pricing, which an independent review found too low at A\$893 to A\$3,781 a hectare. PLS can be strong on the first and exposed on the second at the same time. It is why schedule protection is the smallest item in our bridge at A\$0.13, and why the offsets problem is an engagement ask rather than a valuation adjustment.

Both. Do not flinch.

### **What would make you wrong?**

A sustained price relapse. If spodumene averages 20% below our base case across the forecast, the target falls to about A\$3.80 and the recommendation is wrong. We would also change our mind if the P2000 study slips past the December quarter, or if short interest rebuilds above 10% of shares, because that would tell us a well-resourced group disagrees with us and we would want to know why.

Have this answer word-perfect. It is the best question you can get.

### **Sodium-ion makes lithium worthless. Discuss.**

It is the sharpest substitution risk and we rate it that way in appendix B11. It is most credible in stationary storage, which is exactly the demand leg we lean on. Solid-state is usually mischaracterised as a lithium threat and is more likely lithium-positive per kWh. Our terminal value is a finite annuity rather than a perpetuity, so roughly half our enterprise value sits in a window where this risk is live. We would watch sodium-ion cell cost per kWh and announced storage orders.

B11

### TIER 3 – RAPID FIRE ON THE GAPS WE DISCLOSED

|                                                       |                                                                                                                                                                                         |
|-------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>What is PLS's Scope 3?</b>                         | Not disclosed. We name it as a material gap and it is our second engagement ask, because the low-carbon claim cannot be declared without it.                                            |
| <b>What is emissions intensity per tonne?</b>         | Not a disclosed KPI. Third-party aggregator figures exist, disagree with each other, and we judged them unreliable rather than cite them.                                               |
| <b>What tailings method does Pilgangoora use?</b>     | We could not establish it and we refuse to assert either way. It is carried as an unpriced risk, and it matters more as P2000 roughly doubles tailings volumes.                         |
| <b>What is their TRIFR?</b>                           | 2.77 in FY26, an 11% improvement, achieved while volumes rose 17% and a mothballed plant restarted. That is a reasonable proxy for whether they can execute a doubling of throughput.   |
| <b>Indigenous employment and procurement?</b>         | Still not retrievable. For a Pilbara operator whose growth depends on heritage approvals, that is the disclosure we most want and still do not have.                                    |
| <b>Female participation? Environmental incidents?</b> | 21.9% in FY26, up on the prior year. Zero major environmental, water or waste incidents.                                                                                                |
| <b>What is their MSCI or Sustainalytics rating?</b>   | Not retrievable. We would argue the case asks us to go beneath the rank anyway, and everything material we found came from operating facts, not scores.                                 |
| <b>What are their total borrowings?</b>               | A\$853m at 30 June 2026, after the US\$600m notes issue and net of revolving facility repayments. Net cash A\$1,437m. Our balance sheet ties to the reported A\$6,258m of total assets. |
| <b>Is ESG in management's pay?</b>                    | We could not verify it. That is exactly why it is an engagement ask: a strategy that depends on management goodwill does not survive a change of management.                            |

### NUMBERS TO HAVE COLD

Target / last close / upside    A\$6.14 / A\$5.48 / +12.0%

Total return vs benchmark    13.6% vs 5.90%, outperformance 7.7%

Bear / base / bull    A\$2.30 / A\$6.53 / A\$8.96

WACC / cost of equity    8.88% / 9.38%

FY26 revenue / EBITDA / NPAT    A\$1,934m / A\$1,137m (59%) / A\$526m

FY26 production / cost / realised    879.5kt / A\$569/t FOB / US\$1,488/t

FY26 ESG    Scope 1+2 down 5%, TRIFR 2.77 (-11%), female participation 21.9%, zero major incidents

|                              |                                                                              |
|------------------------------|------------------------------------------------------------------------------|
| Q4 FY26 realised             | US\$2,107/t actual grade, US\$2,415/t SC6-equivalent                         |
| FY27 guidance                | 1,030–1,100kt, A\$575–625/t, capex A\$620–685m                               |
| Cash / borrowings / net cash | A\$2,290m / A\$853m / A\$1,437m                                              |
| P2000                        | A\$2.6bn NPV, 55% IRR, ~A\$1.2bn capex, DFS Dec-qtr 2026, first ore mid-2029 |
| Resource / reserve           | 446Mt @ 1.28% Li2O / 214Mt @ 1.19% (Aug 2023)                                |
| ESG bridge / share of upside | A\$0.43 / 66% of the A\$0.66 upside                                          |
| Downstream option, risked    | A\$0.32, held outside the target                                             |
| Mine life / terminal value   | 16.1 years / A\$9.9bn annuity vs A\$19.0bn perpetuity                        |
| Short interest               | 20% (Sep 2024), 6.8% (May 2026), *10.09% (4 Aug 2026)*                       |

Every figure ties to the submitted workbook. Refresh the ASIC short-interest figure before each round: ours is dated 4 August 2026 at 10.09% and was moving 0.75 points a week.